Reactive to proactive: A finance leader's guide to AI

IBM

Contents

There's a distinct opportunity for AI in the enterprise finance function. Despite the restrictions and multiple overlapping responsibilities in finance, bold CFOs and teams have already realized ROI by applying AI solutions. We've talked to these teams and outlined the why, what and how to get real value from AI for FP&A managers, controllers and analysts in finance.

01

Financial services in the age of AI

As a finance professional, you have a unique set of responsibilities that impact every part of the business. Finance professionals are pressured from all directions with demands for dependability and accountability. AI implemented correctly can alleviate that pressure with accurate and secured automation.

Financial services in the age of AI

You and your team of financial planners, controllers, analysts and FP&A managers are facing challenges in multiple areas. You need to drive digitization, make purchasing decisions for the whole enterprise and maximize returns on digital investments. You also need to adapt the enterprise to changing customer spending habits.

To make matters more layered, you need to meet expectations within the C-suite. For instance, you collaborate closely with CEOs to advise on budget allocation. You must understand how the company's tech investments are performing and identify where you're getting the most value, enabling your CEO to accelerate business transformation and growth.

Where once CFOs reported on past activity and provided high-level strategic input, you're now expected to produce predictive forecasts, in-depth reporting and weigh in at a tactical level. Whether you're a financial analyst, controller or otherwise, as someone in charge of the company's bottom line, everything is your problem.[1]

With technology as a key driver of business, you've got to work hand in hand with CTOs to ensure investments align with financial goals and drive sustainable growth. If you've already implemented some AI, you're on the right path—but you're falling behind. In a survey of finance organizations alone, 67% of respondents say they haven't yet adopted generative AI (gen AI) and 91% haven't adopted agentic AI yet.[2]

Gen AI offers finance teams a new tool to address these complex and challenging situations. By now, using AI in some iteration of finance function is a given. But a trend of CFOs' intent to broaden AI adoption into the gen AI space indicates that failure to do so could have a disastrous effect on your company's competitive edge.

This guidebook explores how you and your financial team members can make smarter use of gen AI—including where to best incorporate it and how to make it a valuable addition to your finance function.

84%

of CFOs say it's important to adopt traditional AI in FP&A[3]

And yet,

81%

of CFOs say it's important to adopt gen AI in procure-to-pay[3]

78%

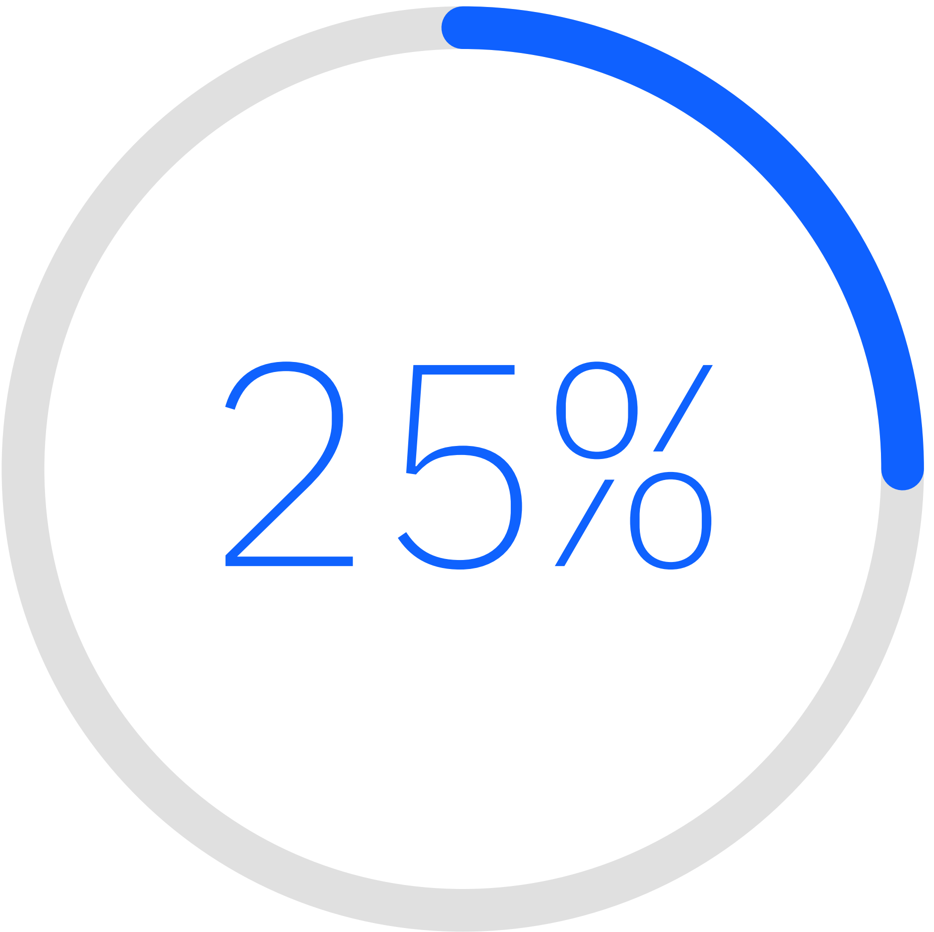
of CFOs say it's important to adopt gen AI in order-to-cash[3]

02

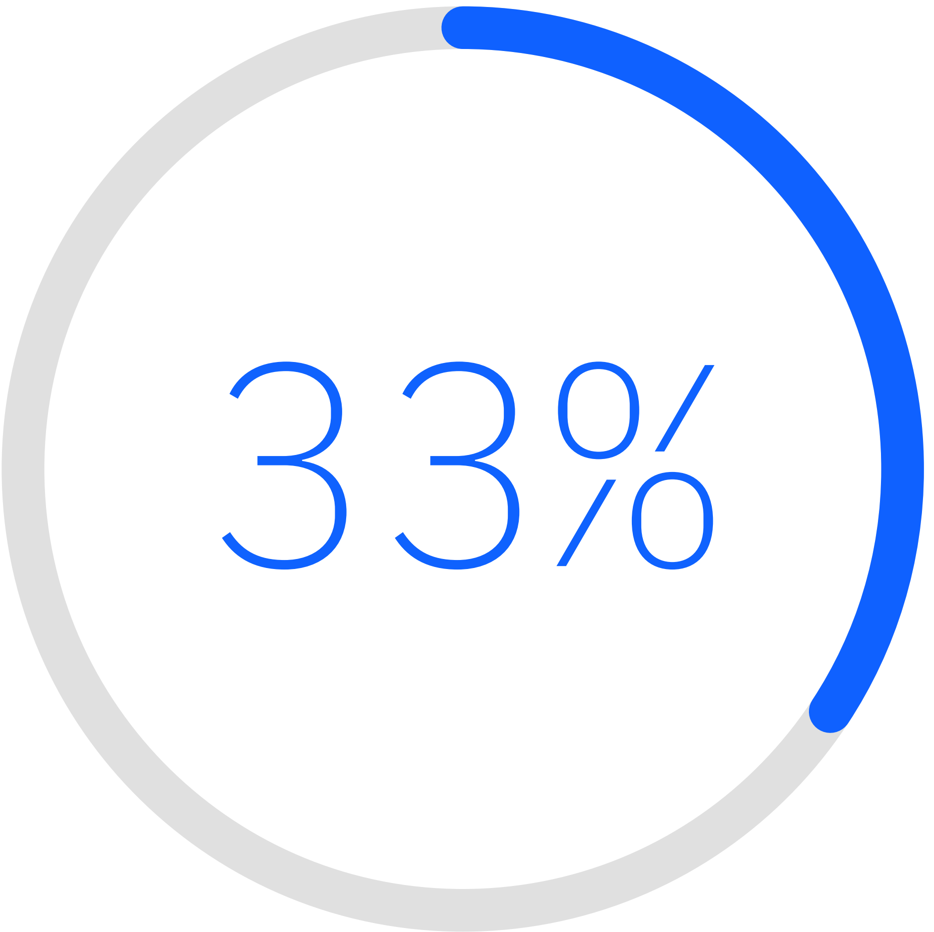
AI in finance is the key to staying ahead

In finance, risk is inevitable. But the risk of embracing AI is no longer a choice; it's a necessity. There are many areas of finance where dependable automation and intelligent acceleration can really deliver value—and already have.

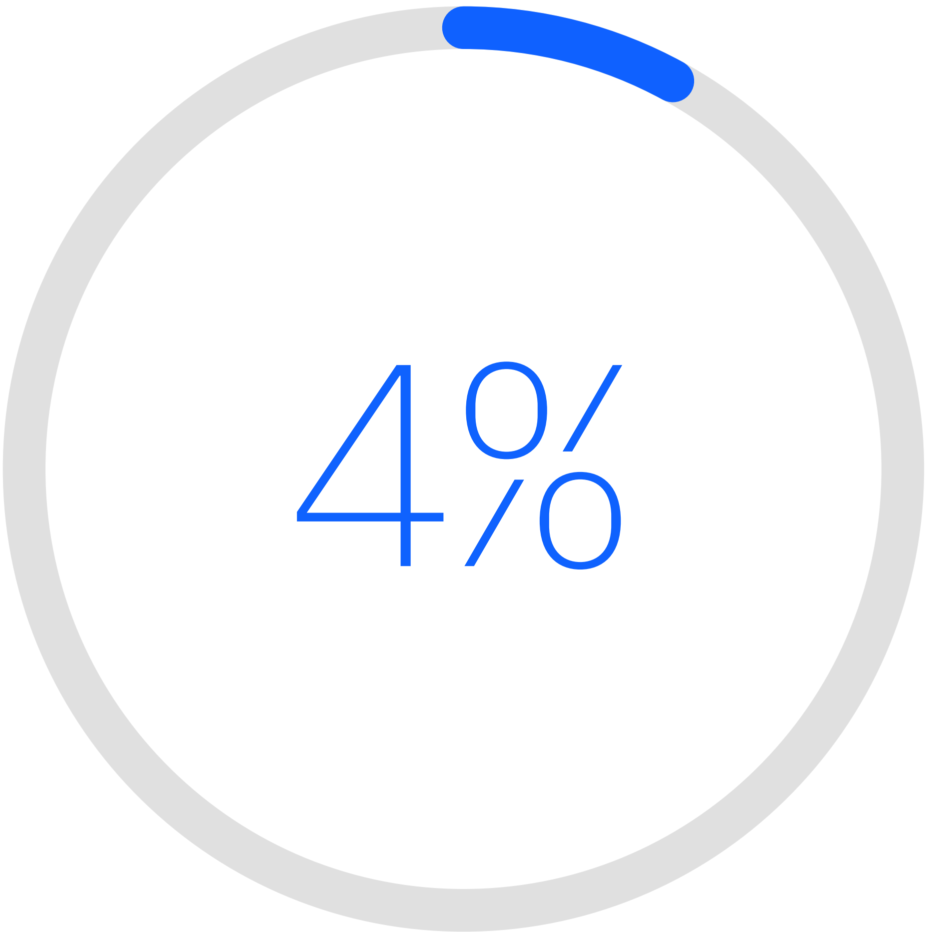
How AI maturity impacts FP&A metrics[3]



lower total cost for planning, budgeting and forecasting (as a percentage of revenue)



faster average budget cycle completion, in days



more accurate forecasting

AI in finance is the key to staying ahead

Finance processes are among the most critical in an organization, requiring automation and augmentation that leave no margin for error. But due to the sophistication and sensitivity of financial operations, you may have yet to embrace AI beyond shallow depths. According to an IBM Institute for Business Value report, while 69% of CFOs say AI is central to their finance transformation strategy, only 13% are operating or optimizing gen AI in key processes.[3] Finance teams often prioritize automation based on feasibility, tackling the simple first and leaving the more complex, high-risk processes for later. Well, later is now.

Financial analysis and reporting teams have long made use of AI tools and the processes of these teams will be one of the areas most revamped by gen AI, bringing self-service capabilities into many new realms of the business. Organizations that opt for a wait-and-see approach risk rapidly falling behind. As gen AI is applied to more ambitious use cases in newer areas such as regulatory compliance, forecasting and designing new accrual methods, the benefits that non-adopters are missing out on multiply. In a survey of 601 global finance managers, they agreed that gen AI can expand the reach of AI in finance.[3]

Structural challenges represent a significant barrier for many organizations, as they continue to struggle with siloed systems, fragmented data governance and numerous ERP and financial applications. These manual processes not only slow operations but also make a tedious task of extracting and validating data, which ultimately stifles agility and efficiency. This issue might explain why organizations have limited their adoption of AI to just one or two of the four essential finance workflows we'll outline on page 14.

Gen AI can be applied to these hard-to-automate areas, empowering faster and smarter decisions based on current data, historical data and market trends. And AI foundation models can identify patterns and anomalies often missed by traditional analysis methods.

Clearly, AI can revolutionize finance. But for the successful ROI of AI, you and your team will need to get actively involved in the analysis process—weigh risks, materiality and potential financial exposures—and partner with other business units from the beginning.

Areas that will realize the most value[4]

47%

predicting anomalies

41%

explaining variances

40%

generating scenarios

39%

creating reports

38%

managing accounts (payables)

38%

managing accounts (receivables)

Ensuring trust and transparency in AI-driven finance

Despite the widespread enthusiasm (especially of board members and investors) to leverage gen AI for business, plenty of decision-makers still have concerns about its adoption. While AI has the potential to enhance compliance and risk management with greater accuracy and efficiency, it also introduces new challenges, including risks related to security and bias.[5]

How your organization succeeds with gen AI is influenced by how you select, govern, analyze and apply data across it. Huge volumes of data from different sources are used to train gen AI models. Therefore, implementing governance, management and ethical frameworks that operate end to end is key if you intend to adopt AI safely and responsibly.

IBM has long followed core principles grounded in commitments to trust, transparency and fairness to guide how we handle client data and insights—and how we develop and deploy new technologies.

To continue this practice in the age of AI, IBM has developed a multidisciplinary, multidimensional approach that embeds ethical principles into AI applications and processes. With IBM's Principles for Trust and Transparency and Pillars of Trust as the foundation for our AI ethics initiatives, we're helping people and organizations adopt AI responsibly and with clear purpose.

Transform finance operations with gen AI

AI is no longer just an add-on in finance—it is the centerpiece of finance transformation. Gen AI is reshaping the industry by streamlining key processes and increasing efficiency. Mature AI adopters were able to shorten the average annual budget cycle by 33% by streamlining the aggregation of financial data from various sources, according to a recent report. They were also able to achieve a 25% lower cost for planning, budgeting and forecasting as a percentage of revenue by using AI to automate manual tasks.[3]

These advancements aren't just about efficiency; they directly impact the bottom line, making AI adoption a competitive imperative in finance. But fulfilling the potential of AI to fundamentally transform finance requires a mix of vision and technology. Enterprises need to put AI to work at the strategic core of the business—not just add it on to existing systems—to solve challenges and help achieve their business objectives.

To fully weave AI into the fabric of finance operations, enterprises are turning to AI agents and AI assistants to optimize efficiency, security and decision-making. AI assistants enhance customer interactions by providing secure, real-time banking support—handling balance inquiries, loan applications and fraud alerts—while also offering personalized financial insights.

AI agents, on the other hand, go beyond reactive support to proactively safeguard financial operations. With trading and investment, AI agents help analyze market trends, execute trades and adjust portfolios autonomously. From pricing shifts to supply chain changes, agentic AI gives you the opportunity to ensure every scenario is tested, approved and executed in moments instead of weeks.

Smartly implemented agentic AI can turn planning into continuous action—automating updates and enabling finance professionals to spot risks early, pivot quickly and stay ahead of change. Agentic workflows close the gap between planning and action, giving finance real-time visibility and control. The result: a living, continuous plan that moves as fast as the market itself, helping businesses stay ahead in an increasingly competitive landscape.

03

Put AI to work in financial services

69% of your fellow CFOs say that AI is integral to your finance transformation strategies[3]. That's because of the pressure you're under to not only implement AI across your workflows, but to see significant revenue or productivity gains from that investment. And ideally, both.

Organizations can rise to top finance performance as they mature in their adoption of advanced gen AI in the finance function and in all four key finance processes with an IT strategy that integrates AI, cloud and app modernization.

The four key finance workflows—FP&A, O2C, R2R and P2P—can each benefit in different ways from the addition of gen AI. Different finance workflows have different areas of applicability for gen AI. Based on IBM's experience through the whole combined ecosystem of finance and AI transformation services, the following are the applicable areas, key processes and benefits in each of the four key finance workflows.

1

Financial planning and analysis (FP&A)

AI and advanced analytics rank as key components of the FP&A process, galvanizing and orchestrating planning and performance management. AI can partially automate the labor-intensive process by parsing through data on the market, company performance, competitor information, pricing and operations. The AI model can identify anomalies, enhance forecasting, optimize pricing and provide recommendations, as well as apply trend analysis, correlation analysis—including pattern and anomaly detection—and neural networks for financial forecasting. With neural networks, AI determines the relationship among data and uses it to predict new data, resulting in higher forecast accuracy. When AI is used for market performance comparison, FP&A teams can factor in more variables and internal and external influences.

Key processes

- Perform integrated financial planning
- Perform planning and budgeting
- Perform management and performance reporting
- Perform forecasting and modeling

Benefits[3]

- 25% lower cost for planning, budgeting and forecasting
- 33% faster budget cycle time
- 4% higher overall forecast accuracy
- 57% lower sales forecast error

2

Order to cash (O2C)

AI-driven innovations in O2C help with credit scoring, pricing decisions and the prevention of payment frauds. AI collects, prepares and distributes data from documents and unstructured data, surfacing insights at key moments to optimize decision-making and accuracy. By 2027, finance executives predict AI automation will improve order-to-cash cycle time by 51%.[6]

Key processes
- Manage sales orders
- Process customer credit
- Invoice customers
- Process accounts receivables
- Manage and process collections
- Manage and process adjustments and deductions

Benefits[3]
- 43% reduction in uncollectible balances
- 32% decrease in days sales outstanding (DSO)
- 28% decrease in the cycle time from transmission of invoice to receipt of payment

3

Record to report (R2R)

In the general accounting and reporting area, AI-powered workflow and data models could include a reconciliation module that helps users aggregate subledger transactions and perform risk-based reconciliations and cognitive forecasting.

Key processes
- Process journal entries
- Reconcile the general ledger
- Post and reconcile intercompany transactions
- Perform consolidations and process eliminations
- Close the books
- Perform fixed assets accounting
- Perform financial reporting

Benefits[3]
- 31% lower cost per journal entry
- 33% faster cycle time for the monthly close
- 2% more journal entries that are error-free first time

4

Procure to pay (P2P)

An AI-powered workflow, underpinned by data models, optimizes touchless processing and provides a unified interface for buyers, suppliers, procurement and finance staff. Invoices are validated against business rules, coded and matched to the purchase order automatically. Spend and pricing intelligence provides insights during sourcing. AI automates procurement operations and manages inquiries from buyers and suppliers. Automating P2P with AI has been shown to increase productivity and permit finance to detect more fraudulent invoices.

Key processes
- Procure products and services
- Process accounts payables

Benefits[3]
- 25% lower cost per invoice paid
- 32% faster cycle time from receipt of invoice until approved and scheduled for payment
- 3% more purchase orders processed error-free first time

To meet the demands of today’s finance business leaders, organizations must innovate continuously. But innovation doesn’t happen in silos.

That’s why IBM has invested significantly in elevating and supporting our business partners. We combine industry domain expertise with our innovative solutions to better meet the needs of our clients. Our business partners use gen AI to deliver turnkey solutions with the simple goal of making it easier for finance and accounting teams to report, plan and forecast. Breakaway Technologies, an IBM Gold Partner, provides an out-of-the-box solution for managed markets contract analysis, discount forecasting and reserve reporting, and this solution can help clients better predict and plan while improving productivity.

04

Take the next step

Understanding what to do with gen AI is one thing, but implementing the technology is entirely different. We recommend focusing on these three tasks: defining the right business case, selecting high-value tasks for automation and applying FinOps.

Take the next step

As enterprises transition from the *hype* to the *how* of gen AI, it becomes even more critical to understand the costs of—and the value derived from—investments in the technology.

AI and gen AI initiatives can only be as successful as the underlying data permits, so enterprises should undertake a variety of data initiatives to support their AI strategy, ranging from process mining to data governance.

Additionally, finance departments deploying AI should follow a structured approach to identify and assess potential risks. They should also:

- Comply with privacy and security regulations, policies and practices to ensure that data collection and usage practices meet requirements.
- Establish clear governance structures, including the definition of roles and responsibilities of all stakeholders involved in AI implementation.

1

But even as you lay this data, infrastructure and process groundwork, how can you be sure your approach to gen AI will accommodate organizational and technology changes?

Here’s where you can benefit from a solid strategy based on experience drawn from thousands of successful AI engagements.

We’ve provided three tested recommendations to get you started.

Define a business case for your AI improvement initiatives.
This business case should include three justifications:

- Prioritizing potential benefits and risks
- Ensuring there’s alignment with the broader strategy
- Secure funding

To quantify these justifications, you’ll need to use project-specific, high-level operational and financial metrics that measure cost, speed and quality. Tracking and reporting the appropriate metrics is key to demonstrating the ROI from AI.

The following are some examples:

FP&A metrics include margins, budget cycle time, accuracy of forecasts for sales and volume, and compliance.

O2C metrics include total cost, cost as a percent of revenue, payment processing time, collections efficiency, customer satisfaction, DSO, percent of invoices processed without error, average revenue per customer and delinquency rates.

R2R metrics include ROI, close cycle time, query response time, accuracy of financial statements, percent of manual journal entries, percent of error-free journal entries and intercompany reconciliation rate.

P2P metrics include cost per invoice, working capital, cycle time to process an AP invoice, credit cycle time and percent of error-free purchase orders.

IBM Business Partners are proactively working to help their clients improve their risk management processes. QuantumStreet AI, an IBM Business Partner that specializes in investment and wealth management, is embedding AI technology to improve the workflows of their investment managers.

"We at QuantumStreet AI are excited about expanding our use of Watson Discovery and Watson Studio into IBM's foundation models watsonx.ai™ and watsonx.data™. These capabilities will allow nontechnical investment managers much needed access to AI/ML tools, enabling them to identify market opportunities and manage risk."

Chida Khatua
CEO of QuantumStreet

2

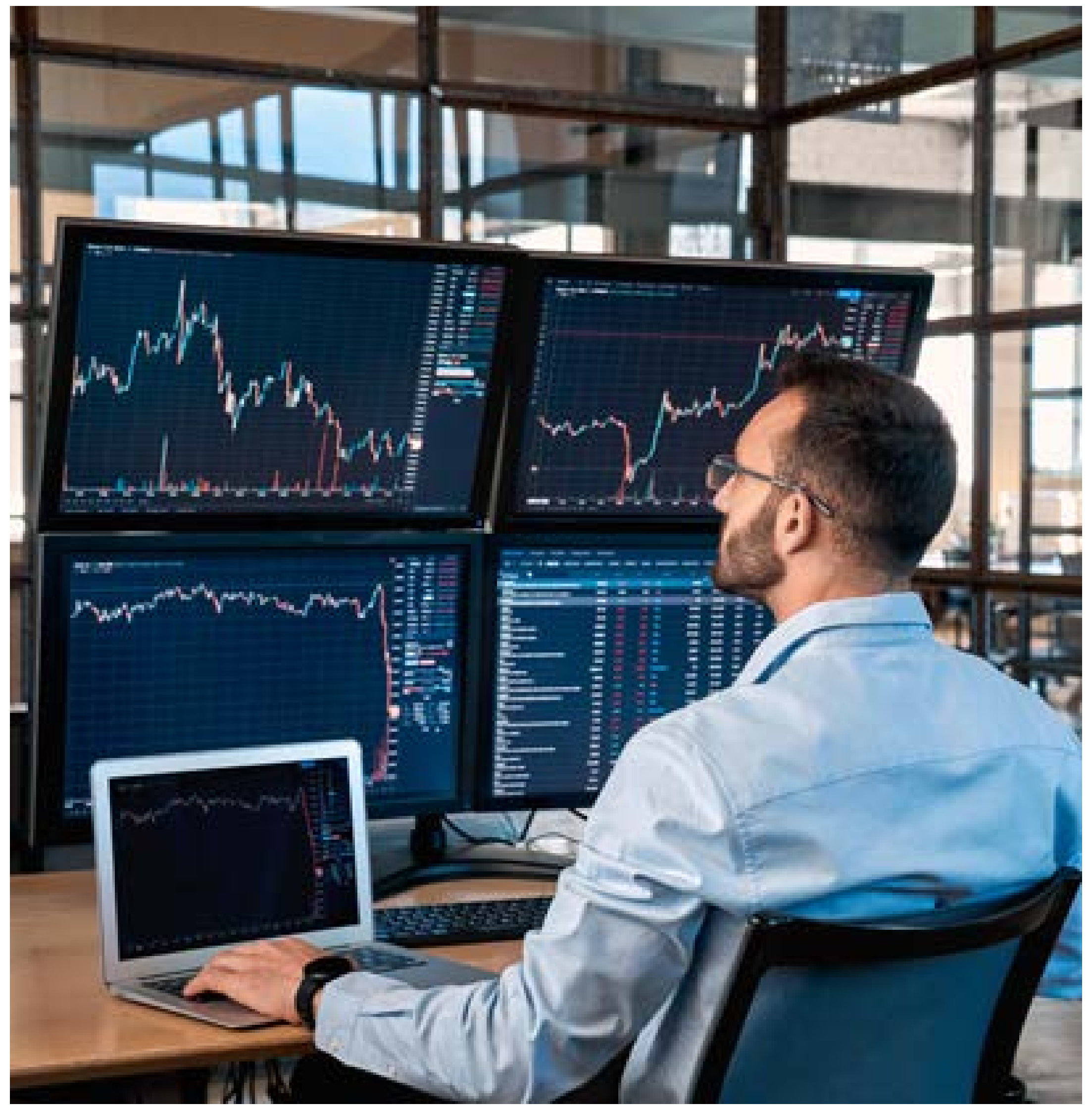
Attack labor-intensive tasks that are ripe for gen AI automation.
Use gen AI tools that automate manual and mundane tasks. Focus on use cases that identify and mitigate risks before making investments that might impact core finance functions.

- Acknowledge the short-term limitations of gen AI when planning to capitalize on its full potential. While gen AI isn't proficient at numeric analysis yet, it likely will be soon. Develop value-adding use cases now to prepare for this future gen AI capability.
- Drive targeted gen AI adoption in day-to-day activities. Get individuals to use gen AI in specific daily tasks. Aligning gen AI adoption to real-world responsibilities will help overcome employee resistance and prove the value of this transformative technology.

Finance leaders are already adapting gen AI to automate processes. The results can be seen across processes such as customer and order predictive analytics (71%), customer order management (67%), cash application (66%), financial analysis and management reporting (53%) and more.[6] There are many active and potential use cases for gen AI in finance.

- Capture and leverage institutional knowledge such as recommending accounting treatments.
- Streamline audits by analyzing data to identify discrepancies and anomalies.
- Aid in contracts and negotiations by analyzing legal language to identify potential issues, risky clauses or opportunities for improvement.

3



Fine tune your FinOps practices with gen AI and apply FinOps across the enterprise to make technology even more valuable. FinOps, or financial management for cloud-based investments, should play a big part in gen AI investment decisions. It increases visibility into cloud-related financial data, helps detect operational efficiencies and measure returns. It formalizes and structures what might otherwise be a largely random process—and reduces the potential for unexplained cloud expenses.

– Gen AI offers you an opportunity to improve value along two axes at once: fine tuning FinOps with gen AI and applying FinOps across the enterprise. Gen AI can make FinOps more accurate and efficient, improving cost-benefit analyses and helping teams prioritize use cases.

– Apply FinOps practices to your gen AI investments by implementing a cost estimation and tracking framework that provides clarity on the costs of gen AI projects.

– Use gen AI to enhance FinOps capabilities. Simulate financial data and scenarios that can help increase the accuracy of financial models, improve risk management and support strategic decision-making.

05

Start your smarter AI journey

Now is the time to solidify competitive advantage by working with a partner that can help not just pilot and adopt AI but also scale the technology across the finance function.

From financial planning through R2R, the right partner can help you optimize productivity and innovation while prioritizing compliance and governance.

IBM Planning Analytics

IBM Planning Analytics is an integrated business planning solution that uses AI to automate budgeting, forecasting and planning across your organization in a single platform. Planning Analytics is built on the TM1 database and enables quick iteration, accelerated decision making and higher performance to help you plan faster and smarter.

Try a free demo of IBM Planning Analytics →

"With its real-time calculations, planning cycles are significantly shortened, reducing the process from days or weeks to just a few hours."

Link to full review →

IBM watsonx Orchestrate

IBM watsonx Orchestrate is a unified platform that can help businesses manage AI agents, assistants and workflows. It helps finance teams coordinate work, create custom agents without having to code, quickly deploy AI using prebuilt, domain-specific agent systems and manage governance and security measures across the organization.

AI agents

IBM's AI agents for finance, powered by IBM® watsonx Orchestrate®, are prebuilt systems of AI agents designed to boost speed, accuracy and decision-making—with no code required. With built-in connectors that integrate to common finance systems like IBM Planning Analytics, they can automate complex workflows across FP&A, O2C, P2P and R2R processes. This automated workflow helps finance teams shorten planning cycles, uncover insights faster and focus more time on strategic, high-value work.

1. According to Monica Proothi, Partner and Leader of Global Finance Transformation at IBM

2. 2025 Finance organization benchmark report, IBM Institute for Business Value, January 2026.

3. Benchmarking the AI advantage in finance, IBM Institute for Business Value, May 2025.

4. Finance is primed for a generative AI revolution, IBM Institute for Business Value, April 2024.

5. State of the Industry: Banking and Financial Markets, IBM Institute for Business Value, March 2025.

6. Orchestrating agentic AI for intelligent business operations, IBM Institute for Business Value, May 2025.